

TotalEnergies Marketing Kenya PLC

Summary of audited Financial Statements for the year ended 31 December 2025

STATEMENT OF FINANCIAL POSITION

AS AT	31 Dec 2025 KShs'000	31 Dec 2024 KShs'000
ASSETS		
Non-current assets		
Property, plant and equipment	13,450,101	12,811,963
Right-of-use assets	3,300,025	1,817,970
Goodwill	416,679	416,679
Intangible assets	238,803	295,876
Deferred tax assets	579,245	689,478
Total non-current assets	17,984,853	16,032,966
Current assets		
Inventories	10,531,995	11,068,362
Tax recoverable	-	656,966
Trade and other receivables	25,087,856	25,500,796
Amounts due from related companies	2,141,767	3,235,303
Cash and bank balances	13,441,743	11,437,183
Total current assets	51,203,361	51,897,610
TOTAL ASSETS	69,188,214	67,931,576
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	21,727,252	20,765,093
Total shareholders' equity	33,669,543	32,707,384
Non-current liabilities		
Trade and other payables	1,061,729	949,408
Lease liability	2,212,196	1,200,900
Provisions	346,849	243,160
Total non-current liabilities	3,620,774	2,393,468
Current liabilities		
Lease liability	432,874	207,189
Trade and other payables	29,605,747	29,437,441
Tax payable	187,410	-
Amount due to holding company	1,035,553	2,770,238
Amount due to related companies	636,313	415,856
Total current liabilities	31,897,897	32,830,724
TOTAL EQUITY AND LIABILITIES	69,188,214	67,931,576

STATEMENT OF CASHFLOWS

FOR THE YEAR ENDED	31 Dec 2025 KShs'000	31 Dec 2024 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	8,388,316	8,972,061
Tax paid	(741,571)	(1,629,028)
Net cash generated from operating activities	7,646,745	7,343,033
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(2,380,800)	(2,279,372)
Purchase of intangible assets	(168,391)	(195,985)
Purchase of leasehold land title	(15,500)	-
Interest received from government securities at FVOCI	-	1,359,355
Interest received from bank deposits	353,447	234,214
Proceeds from disposal of property, plant and equipment	24,789	13,278
Proceeds from disposal of government securities held at FVOCI	-	7,914,813
Net cash (used in)/ generated from investing activities	(2,186,455)	7,046,303
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest payments on borrowings	(1,509,970)	(3,715,542)
Lease liability payments - principal	(657,650)	(211,719)
Lease liability payments - interest	(93,855)	(109,402)
Dividends paid	(1,203,333)	(1,200,689)
Net cash used in financing activities	(3,464,808)	(5,237,352)
Net increase in cash and cash equivalents	1,995,482	9,151,984
Effect of exchange rate changes on cash and cash equivalents	9,078	-
Cash and cash equivalents as at 1 January	11,437,183	2,285,199
Cash and cash equivalents as at 31 December	13,441,743	11,437,183

The above statement of financial position, statement of profit or loss and other comprehensive income, statement of cash flows, and statement of changes in equity are extracts from the Company's 2025 financial statements as audited by Ernst & Young LLP.

Commentary

Kenya's economy showed improved growth during the year, supported by the recovery in agriculture sector due to favourable weather, continued expansion of the services sector, and increased activity in construction and manufacturing sectors. The Inflation remained within the Central Bank of Kenya's target range as monetary policy was progressively eased, offering some relief to consumers and businesses alike.

The Company delivered a strong financial performance, recording a profit after tax of KShs 2,171 million (2024: KShs 1,487 million), demonstrating the resilience of the Company's business model and the disciplined execution of its strategy. The Company's gross margins increased to KShs 11,978 million (2024: KShs 8,994 million), supported by higher sales volumes and increase in margins following the review of retail margins by the regulator.

Other income decreased to KShs 1,772 million (2024: KShs 2,797 million). The drop in income was due to lack of government securities which were sold in the prior year. This notwithstanding, there was an increase in the Company's diversification revenues from Shops, Food Services (SFS), and income from partnerships with third parties.

The Company's operating expenses increased to KShs 8,723 million (2024: KShs 7,506 million). The increase was due to inflationary adjustment, depreciation charges and imported services. The Company continued to maintain its commitment to cost discipline and robust cost control measures. Finance costs declined to KShs 1,689 million (2024: KShs 3,830 million), reflecting favourable interest rate movements and hence lower cost of borrowing.

In 2025, the local currency remained relatively stable with the Company recording a foreign exchange loss of KShs 156 million (2024: gain of KShs 2,073 million).

Investments of KShs 2,565 million (2024: KShs 2,475 million) were made in line with the business strategy.

Future outlook

TotalEnergies Marketing Kenya PLC is expected to continue growing its business in the country due to its vast experience in the energy sector and its broad range of products and services. The priority focus for the Company will continue to be on safety, operational excellence, profitable growth, and positive cash flow generation. The Company will continue to increase its focus on renewable energy sources and sustainable solutions to meet the growing demand for clean energy in Kenya. All these are key to increasing the value and shareholder returns while maintaining a strong financial position.

Due to the nature of the business, the Company's activities remain subject to the market risks (sensitivity to the environmental parameters of the oil and financial markets), environmental risks related to the Company's operations, and political or the geopolitical risks that could potentially impact the operating environment.

Proposed dividends

The Directors recommend payment of a first and final dividend of KShs 3.45 per share for the year ended 31 December 2025 (2024: KShs 1.92). Subject to approval by the shareholders at the 72nd Annual General Meeting to be held on 24 June 2026, the dividend will be paid on or around 31 July 2026 to the Shareholders on the Company's register as at the close of business on 24 June 2026.

By order of the Board


Thibault FLICHY
Managing Director
April 23, 2026



STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED	31 Dec 2025 KShs'000	31 Dec 2024 KShs'000
Revenue from contracts with customers	143,940,451	151,487,770
Indirect taxes and duties	(39,921,084)	(37,274,855)
Net revenue from contracts with customers	104,019,367	114,212,915
Cost of sales	(92,041,553)	(105,219,189)
Gross profit	11,977,814	8,993,726
Other income	1,771,746	2,796,836
Operating expenses	(8,723,026)	(7,506,213)
Net allowance for expected credit losses	176,405	(475,486)
Net loss on disposal of government securities at FVOCI	-	(222,285)
Finance income	353,447	234,214
Finance costs	(1,689,170)	(3,830,463)
Net foreign exchange (loss)/ gain	(156)	2,072,802
Profit before tax	3,867,060	2,063,131
Tax charge	(1,696,180)	(573,698)
Profit of the year	2,170,880	1,487,433
Other comprehensive income, net of tax	-	203,649
Total comprehensive income for the year	2,170,880	1,691,082
Earnings per share (basic and diluted) (KShs)	3.45	2.36

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2025	Share capital KShs'000	Share premium KShs'000	Retained earnings KShs'000	Fair value reserve KShs'000	Total equity KShs'000
As at 1 January 2024	9,974,771	1,967,520	20,486,381	(203,649)	32,225,023
Dividends declared - 2023	-	-	(1,208,721)	-	(1,208,721)
Profit of the year	-	-	1,487,433	-	1,487,433
Other comprehensive income	-	-	-	203,649	203,649
Total comprehensive income	-	-	1,487,433	203,649	1,691,082
As at 31 December 2024	9,974,771	1,967,520	20,765,093	-	32,707,384
As at 1 January 2025	9,974,771	1,967,520	20,765,093	-	32,707,384
Dividends declared - 2024	-	-	(1,208,721)	-	(1,208,721)
Profit of the year	-	-	2,170,880	-	2,170,880
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	2,170,880	-	2,170,880
As at 31 December 2025	9,974,771	1,967,520	21,727,252	-	33,669,543